NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

AUDITING

CAC 4103

Examination Paper

FEBRUARY 2022

This examination paper consists of 10 pages

**Time Allowed: 3 hours**
**Total Marks: 100**
**Examiner's Name: Mr B Mpofu**

**INSTRUCTIONS**

1. Answer **all** questions
2. Use the examination book provided
3. Begin each question on a new page
4. Submit all answer books
5. Use of calculators is permissible

**MARK ALLOCATION**

| QUESTION | MARKS |
|---|---|
| 1. (a, b, c, d, e, f, g) | 100 |
| TOTAL | 100 |



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***Disclaimer:*** *All names of persons, places and business entities mentioned in this examination paper are* ***fictitious*** *and any resemblance to real persons, living or dead, places and business entities are purely* ***coincidental.***

## QUESTION 1

**(100 MARKS)**

Jay Sam Chartered Accountants., a firm of Registered Auditors based in Bulawayo, renders external audit, other assurance and advisory services to clients.

Upon completing your training contract at another firm and having registered with the PAAB as a Registered Auditor, you successfully applied for a position as director at Jay Sam Chartered Accountants., with the understanding that you would acquire 49% of the shareholding in Jay Sam Chartered Accountants. and assume full responsibility for the audit and assurance portfolio over time. You commenced your duties as director of Jay Sam Chartered Accountants. on 1 November 2018. Prior to this date, Jay Sam Chartered Accountants. had one director, Mr. Joe Snow (a Registered Auditor), and twelve staff members.

One of the audit clients is Avilio Limited ('Avilio'). Mr. Snow was the engagement director on the audit of Avilio for many years, and prior to your assumption of duties, he handled certain planning activities for the 2018 audit. One of your first tasks after your appointment was to take over responsibility for the audit of Avilio's financial statements for its financial year ended 31 October 2018 – as part of Mr. Snow's phased exit from audit work.

You are currently reviewing the planning documents for the audit of Avilio for its 2018 financial year and your staff provided you with the following audit working papers and other correspondence:

| Working paper | Reference number |
|---|---|
| Understanding of the entity: Overview | 100-01 |
| Understanding of the entity: Notes taken at the first planning meeting for the 2018 audit | 100-20 |
| Understanding the entity and Internal controls: IS environment | 100-50 |

| Client: Avilio Limited | Year end: 31/10/2018 | 100-01 |
|---|---|---|
| Prepared by: CA Shew | Date: 06/10/2018 | |
| Reviewed by: | Date: | |
| Subject: Understanding the entity: Overview | | Page 1 of 1 |

## NATURE AND BACKGROUND OF THE BUSINESS

Avilio is a company that builds catamaran yachts in Kariba and was incorporated by Mr. Peter Dunga in 2001. Avilio has been the sole supplier of yachts to five national yacht dealerships in Zimbabwe, from there incorporation till the present day.

Avilio has always been a family operated and owned business but has listed on the JSE two years ago, as the Dunga family wanted to attract investors from outside the family to enable them to expand the business operations to Victoria Falls.

## SHARES AS PER THE MEMORANDUM OF INCORPORATION AND FINANCIAL STATEMENTS AS AT 1 NOVEMBER 2017

| | |
|---|---|
| Authorised share capital | 10 000 Class A Ordinary Shares &<br>3 000 Class B Ordinary Shares |
| Issued shares | 7 500 Class A Ordinary Shares @ 108zwl each to various shareholders |

## BOARD OF DIRECTORS

| | |
|---|---|
| Mr Jake Mofokeng (Chairman of the board) | Non-executive director |
| Mr Peter Dunga | Managing director (CEO) |
| Mr Joe Dunga (Pietro's son) | Marketing director |
| Mrs Jane Dunga (Pietro's wife) | Financial director (CFO) |
| Ms Victoria Zuma | Non-executive director |

must no be part of the board
then must be 3
2

Mr Mofokeng is an experienced yacht captain and also has an 8% shareholding in Avilio. He was appointed when the company was listed by the shareholders.

Ms Zuma is a 22 year old yacht designer who has been an independent non-executive director with Avilio from 1 November 2012.

## OTHER MATTERS

The annual financial statements, which comprised of the Audit Report, Statement of Financial position, Statement of Comprehensive income, Statement of Change in Equity and Notes to the statements, for 2017 were presented to the audit committee. They took their time to ask questions where they were unsure about certain aspects and eventually approved the annual financial statements. The annual financial statements was circulated to all stakeholders.

During the 2018 financial year the Dunga family decided that they wanted to regain some of the control in Avilio. Mr. Peter Dunga decided that the only way to establish this, would be to issue the remaining class A authorised shares between himself, his wife and his son. Mr. Peter Dunga called an emergency board meeting where only the executive directors were present, and the resolution was approved by the majority of the directors. The shares were issued at 99zwl each.

At the last directors meeting held for the 2018 financial year, it was decided that Jay Sam Chartered Accountants will be re-appointed as the auditors of Avilio till the 2022 financial year end. The board was a bit skeptical about the change in audit partners but Mr. Snow ensured them that you were more than qualified for the task.

| | | |
|---|---|---|
| **Client:** Avilio Limited | ***Year end:*** 31/10/2018 | **100-20** |
| **Prepared by:** CA Shew | ***Date:*** 06/10/2018 | |
| **Reviewed by:** | ***Date:*** | |
| **Subject:** Understanding the entity: Notes taken at the first planning meeting for the 2018 audit. | | ***Page 1 of 2*** |

| | |
|---|---|
| **Purpose of the meeting:** | To update the auditor's understanding of any changes at Avilio since the 2017 audit report was issued |
| **Date:** | 2 October 2018 |
| **Venue:** | Head Office of Avilio in Kariba |
| **Present:** | |
| **-Mr Joe Snow (JS)** | Audit Engagement Director (Interim) |
| **-Ms Carol-Ann Shew (CAS)** | Audit Senior (Who took the notes) |
| **-Mr Peter Dunga (PP)** | Managing Director of Avilio |

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**JS:** Introduced CAS to PP, as CAS was assigned to the audit of Avilio for the first time.

**PP:** Asked what had happened to Mr Mac Damia, whom he remembered as the senior on the 2017 audit, and who had caused him a lot of frustration and headaches due to the many audit-related questions Damia asked.

**JS:** Indicated that he had decided to not assign Damia to the audit again, as a result of PP's unhappiness about the time he had to spend in answering Damia's many questions. He also did not like Damia very much and did not want to listen to his "long stories" again. He added (for CAS's benefit) that Jay Sam Chartered Accountants, was very proud to continue to have Avilio as a client, as Jay Sam Chartered Accountants.'s motto of 'solutions for clients' can be clearly demonstrated. He is also very great full for the money that Joe Dunga provided to him in his personal capacity, and added that it would be repaid by the end of the month.

**PP:** Agreed by commenting that every year when Avilio's financial statements were prepared, JS advised the Avilio accountant on the appropriate accounting standards. He also acknowledged that JS's active participation in certain key decisions had helped him to establish a successful company.

**JS:** Pointed out that, going forward, his focus would increasingly be on rendering non-audit engagements to clients, given the requirements of the Companies Act. He explained that a new director at Jay Sam Chartered Accountants, would therefore be responsible for the 2018 audit of Avilio and would commence duties on 1 November 2018. JS undertook to do a formal handover once the new director had commenced duties, but added that JS would still be available for all non-audit services that Avilio may require. He then reminded PP that he is already preparing the income tax calculation as well as maintaining the internal audit function.

**PP:** Noted that despite good profitable projects, cash flow continued to be under strain – something he found surprising and could not really explain. PP added that the current decline in new yacht projects experienced nationally would also have a negative impact on the company's results for the next few years. At this point, PP provided JS with a copy of the most recent management accounts (reflecting the figures extracted from Avilio's trial balance at 30 September 2018).

**JS:** Suggested that Avilio think about investing in Profit-4- Sure Limited shares as Pick 'n Play Limited, one of his former clients, invested 100 000zwl in the company and within 2 months had a 20% return on investment. He also asked whether there were any other matters the team should be aware of for purposes of planning and performing the audit.

**PP:** Explained that there was only one matter that should be highlighted, namely:

i) Claims from customers

A number of claims had been received by Avilio during the year relating to damages suffered by customers due to 'shortcuts' having been taken during manufacturing of yachts and inferior materials having been used. These claims had been investigated and remedial action taken, where necessary, to ensure that these problems did not recur and affect current and future yacht projects. PP added that he had referred all claims to the company's attorneys, and requested that this matter be treated as 'strictly confidential so as to not draw unnecessary attention to a matter that has been dealt with'. IAS 37

**JS:** Responded to PP's requests as follows:

i) Regarding the request to keep the claims confidential, JS stated that he recognised the sensitivity of the matter, given the negative effect that this could have on Avilio's business. He added that the matter would in all likelihood not have any effect on the audit report.

**CAS:** Asked who the key role players in management were – for purposes of determining to whom enquiries should be addressed. Segregation of duties

**PP:** Responded that 'nothing happens at Avilio without my knowledge'. He therefore proposed that instead of the audit team being 'sent from pillar to post', questions should be addressed to him rather than to the other directors of Avilio. He undertook to direct the audit team to another director if necessary.

**JS:** Noted that he had another appointment, and therefore requested that the meeting be concluded. He added that CAS had enough information to plan the audit (with reference to the information gathered in this meeting, and from the 2017 audit files), and that she could now undertake the assessment of the risk of material misstatement, and then formulate appropriate audit responses.

**PP:** Asked whether he again had to sign a letter which explains, among other things, what the audit was all about, his (and the rest of management's) responsibilities, and how the fees will be payable – as had been the case some years ago.

**JS:** Just before leaving the meeting, JS indicated that, as this letter had been signed previously, this would not be necessary. ∴ ↓ engagement letter

| Client: Avilio Limited | Year end: 31/10/2018 | 100-50 |
|---|---|---|
| Prepared by: CA Shew | Date: 07/10/2018 | |
| Reviewed by: | Date: | |
| Subject: Understanding the entity & Internal controls: IS environment | | Page 1 of 1 |

***Business processing and IT***

The company makes use of standard enterprise resource planning (ERP) software. The software is used for accounting and to manage the production process. Jay Sam Chartered Accountants's IT specialist reviewed the general control environment at Avilio and highlighted various issues with regard to the server that hosts the website, including the following:

- The server can be accessed logically and physically by most employees as it also houses other applications used by Avilio (such as the ERP software);
- There is a lack of backups, which was recently highlighted when unauthorised access caused the server to crash. Valuable customer information were consequently lost; and
- Data is not password protected. The IT systems, database and website hosting are all located at the Kariba premises. The maintenance and operation of the database and software systems are outsourced to a local IT service provider.

Master file → monitoring and maintenance of the master file

- Security and passwords
- Back ups
- Segregation of duties
- Isolation of responsibility

Off

Sy

Production

Description

lack indicator

6 lack of passwords

3

## E-MAIL RECEIVED FROM JOE DUNGA

**From:** JoeDunga@Avilio.co.zw
**To:** Audit Partner@js.co.zw
**Date:** 14 November 2018
**Subject: CONFIDENTIAL: Enquiry**

Good day Mr. Partner

I am in the process of registering a company, "Yacht Materials (Pty) Ltd" (YM), totally separate from Avilio. YM will be owned solely by myself and will be situated in Port Elizabeth, my favourite holiday destination! YM's main purpose would be to provide the yachts' direct building materials to Avilio. I have become aware of an overseas supplier who sells the material that Avilio uses at almost half the price we're currently paying. In order to thank my parents for everything they've done for me, I will therefore import the goods, and sell it to Avilio at 80% of the price that they're currently paying – making a 30% profit! It's a win-win situation! As I have some good friends working at the airport, I should even be able to save on import duties! YM should be employing on average 40 lower level employees. I will be involved as a non-executive director in order for it not to interfere with my responsibilities at Avilio, and will therefore appoint on average 8 directors. In order to remain in total control, the company is going to be registered as a private company, to which I will be the only shareholder. If things go well, I expect the following to be my summarised results by the end of the company's first financial year:

| SUMMARISED RESULTS | ZWL '000 |
|---|---|
| *Turnover* | *34 400* |
| *Net profit* | *6 500* |
| | |
| *Total assets* | *54 200* |
| *Total liabilities (including deferred tax of 5 500 000 ZWL)* | *43 500* |

In order to save as much costs as possible, I have smartly decided to compile the financial statements internally, and I am pleased to inform you that your audit firm is welcome to tender to review my company independently, as I have included a standard memorandum of incorporation for YM. As part of the package, I will also custom build a personal yacht for yourself – I know how you love the outdoors!

PS – I would like to keep this business relationship casual, and therefore it is not necessary to draft an engagement letter. I already know the contents off by heart, due to my involvement at Avilio.

Due to your confidentiality requirements, I trust that you will keep the above information to yourself.

Regards
Joe

① Process of registering a company

now

AVILIO LIMITED

During a partners' meeting at Jay Sam Chartered Accountants' offices, the firm's newsletter was distributed to the partners:

# Jay Sam Chartered Accountants
## *"Your partner – FOR EVER!"*

**NEWSLETTER: NOVEMBER 2018**

**CHARITY RUNS HIGH @ JAY SAM CHARTERED ACCOUNTANTS!**

A group of second year trainees have been awarded a generous bonus after they took the initiative in arranging one of Jay Sam Chartered Accountants' largest charity initiatives. The trainees recognised a massive gap in blacklisted small business owners, and thought it to be *"unfair to these business owners to be punished continuously for one past mistake"*. They have therefore started a division as part of Jay Sam Chartered Accountants that will audit blacklisted companies. *"The companies are very generous and are offering great audit fees"*, stated the leader of the trainee group. The following are a list of some of the clients of which Jay Sam Chartered Accountants has already been appointed as auditors:

1. Einstein CC – The owner is the father of one of the trainees. He expressed his endless gratitude to Jay Sam Chartered Accountants, as it will create a great opportunity for him and his daughter to restore their relationship while she is assisting with the audit.
2. Beast to Beauty – A sole proprietor offered that the company's whole finance team which, includes 2 CA(Z)'s, may assist us with the audit, especially in view of the recent significant growth in audit client numbers.
3. Forever Young Ltd also expressed their gratitude by granting the whole audit team with a fully paid, week long, five star, international holiday.

→ familiarity threat

- intimidation threat
- Self review
- Advocacy threat

→ gifts

**TRAINEES: LOOK NO FURTHER THAN JAY SAM CHARTERED ACCOUNTANTS!**

- Are you looking for a job?
- Tired of being rejected purely because of no matric?
- Looking for something more challenging?

Look no further! We accept all applicants with the promise of investing in your future, other than most other audit firms that only chase profits.

For those applicants who are hungry for more, special positions have been created to allow trainees to work double the hours, for double the pay!

Do not hesitate to contact our helpful HR department today, at (973) 827-8462, or e-mail a summarised CV to best.auditfirm.ever@jsco.xo.zw

Marketing - Denigrating other firms

*~~~~~ Until next month! ~~~~~*

| QUESTION 1 REQUIRED: | | MARKS | |
|---|---|---|---|
| | | Sub-total | Total |
| a) | With reference to working paper 100-01, discuss any statutory considerations that you, **as the auditor**, should adhere to with regard to the share issue that was made to the Dunga family. | 10 | 10 |
| b) | Discuss fully your concerns arising from the audit planning meeting (as documented in work paper 100-20) with reference to the ICAZ Code of Professional Conduct. For each concern listed include a discussion on the matters that should have been considered.<br>*Communication skills: Clarity of expression* | 17<br>1 | 18 |
| c) | Describe the risk of material misstatement at the overall financial statement level that you should take into account in planning the audit as evidenced from the information contained in working paper 100-~~50~~. | 26 | 26 |
| d) | With reference to working paper 100-50, describe the general controls that Avilio Limited should implement to restrict access to the server and to ensure the integrity and validity of the data on the database.<br>*Communication skills: Clarity of expression* | 14<br>1 | 15 |
| e) | With regards to the e-mail received from Joe Dunga, discuss whether you would be providing Joe Dunga with the appropriate level of assurance, should you be engaged in an independent review of Yacht Materials. | 7 | 7 |

planning
Audit strategy
Audit plan
Reasonable Assurance

2 17 27
15 10 14
41

| | | | |
|---|---|---|---|
| f) | With regards to the e-mail received from Joe Dunga, discuss the preliminary engagement considerations you should have considered prior to accepting the possible appointment of Yacht Materials as a client. | 12 | 12 |
| g) | Based solely on the content of the newsletter provided, identify and explain any concerns you may have about the firm's system of quality control in terms of ISQC 1. | 12 | 12 |
| **TOTAL MARKS QUESTION 1** | | | **(100)** |

***TOTAL MARKS FOR PAPER: 100 MARKS***